there is likely to be no impact of increased money supply on inflation, with other things being equal.

Fiat Currency Incubated Monetary Instability

Every good and service produced and consumed in an economy gets exchanged/traded at a value/price expressed in terms of money. As long as gold and silver, valuable goods in themselves, doubled up as currency, the role of money in the exchange of other goods and services was quite straightforward. All goods and services were valued relative to the value of the gold/silver and the gold/silver coin acted as a stable medium of exchange. There was no notable instability in the value of money and no need for any ‘monetary policy’ to control inflation and maintain the value of money.

Similar stability of money continued to exist when paper currency notes were introduced as money but were kept aligned to the value of gold/silver by being freely convertible in gold/silver coins. In the era of gold/silver currency or even when the gold/silver standard was prevailing, it did not matter which country’s gold/silver coin/note was used, as every coin/note was exchanged for the quantity of pure gold or silver or both and there was a stable exchange ratio between gold and silver.

Much of the global currency system until the 1960s operated on this basis, including during the Bretton Woods era (the agreement was signed in 1944) as every currency was expressed to be equivalent to a certain weight in gold and its relative value to the US dollar was fixed accordingly. The fact that the US dollar was convertible in gold at a fixed ratio of $35 to an ounce of gold made all international currencies virtually convertible in gold.

When countries, one after the other, went off the gold/silver standard and the US refused to convert $35 into an ounce of gold in 1971, only paper currency was left to discharge the function of money. That’s when the situation got complicated. Paper currency, whether dollars, sterling or